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DOWN, BUT NOT OUT

▶ The crash of AI171 Dreamliner has put focus on the transformation journey, code-named Vihaan.AI, under the Tata Sons' management

▶ The airline's challenges make this turnaround one of the most complex corporate transformations in Indian business history

▶ The airline's poor financials show that it will take a lot of time to turn around

▶ The airline faces a formidable opponent in the domestic market, which, because of its massive market share of 65%, has the power to dictate the fares in the market

▶ While the merger of Vistara and AirAsia India with Air India is complete, cultural issues within the merged entity are yet to be ironed out

▶ The top leadership team lacks the relevant experience to run the airline

THE AIR INDIA CRASH ON JUNE 12, WHICH KILLED 260 PEOPLE, SECONDS AFTER TAKE-OFF FROM THE AHMEDABAD AIRPORT, WAS THE DEADLIEST AVIATION DISASTER IN INDIA IN OVER A DECADE. IT ALSO RUPTURED THE TATA GROUP'S CAREFULLY MANAGED NARRATIVE OF THE AIRLINE'S REVIVAL.

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The AI171 Dreamliner crash, amid the much-touted five-year transformation plan, Vihaan.AI, cannot be more nightmarish for an airline struggling to shed the baggage of decades-old state control.

To add to the injuries, Air India will discontinue its non-stop flights between Delhi and Washington, DC, due to a temporary shortage of aircraft.

A former Air India director provides the crucial context to the crash: "In my over 20 years in the aviation sector, I've never witnessed a crash of this scale. But we need to put this into perspective," says the former official, who did not wish to be named. The official says while accidents are tragic and unfortunate, they are not unprecedented. Almost every major airline has had an incident at some point in its history. Questions are raised

about maintenance, procedures, and accountability, but airlines recover even as they learn, adapt, and move forward.

Air India too can bounce back but not that easily. Its overhaul has been under strain for a while due to a series of missteps. The Directorate General of Civil Aviation (DGCA) has pulled up the airline's management over issues such as pilot duty timings and fatigue management. According to the civil aviation ministry, a total of nine show-cause notices related to five safety violations have been issued to the airline over the last six months. In July itself, it found 51 safety lapses at Air India. These included incidents regarding a lack of adequate training for pilots, the use of unapproved simulators, and a poor rostering system. These findings assume significance in the context of the recent crash.